

European Automobiles & Components

## Mercedes-Benz Group AG

Rating

### Market-Perform

Price Target

MBG.GR

56.00 EUR (61.00 OLD)



**Stephen Reitman**  
+44 20 7762 5535  
stephen.reitman@bernsteinsg.com



**Steve Pereira Fernandes, CFA**  
+44 20 7676 7254  
steve.pereira-fernandes@bernsteinsg.com



**Gali Salvatorelli Naraghi**  
+44 20 7676 6741  
gali.salvatorelli-naraghi@bernsteinsg.com



**Harry Martin, CFA**  
+44 20 7676 8965  
harry.martin@bernsteinsg.com

## Mercedes: Some positive notes amidst a cacophony of challenges

Mercedes delivered respectable 2Q26 results in an extremely challenging environment. The group reported pre-market on 28 July and the stock initially rose by up to 6%, in part we suspect due to a short squeeze, after beating the company gathered analysts' consensus on adjusted operating income at Passenger Cars (4.0% reported vs 3.5% consensus). For FY26, Mercedes lowered its Passenger Cars revenue guidance but reiterated its adjusted margin guidance corridor of 3-5%, stating it would likely land toward the lower part of that range. The stock cooled somewhat intraday, and finished up 2.9% at the close.

**The messaging on Europe**, especially on demand for its new ranges of BEVs, and on the USA was positive, and the group is taking credible steps towards reducing its dependence on its high-cost German base, of which the most visible was the official opening earlier this month of the next phase of development at its Kecskemét plant in Hungary where capacity has been doubled to 400k units. There, factor costs (basically labour, energy, plant overhead and logistics, and do not include raw materials and parts purchases) are some 70% lower than those in Germany.

**In China**, Mercedes does not appear at first glance to be taking on as much water as BMW, whose 16 June warning on margins was mainly due to a recalibration of expectations for the Middle Kingdom. Mercedes did not scape through unscathed; a €796m non-cash impairment of the Chinese operations to reflect lower anticipated future returns was mainly responsible for reducing Passenger Cars' reported operating margin to only 0.2% in 2Q26.

**On capital returns**, Mercedes announced it was launching another €1bn share buyback that will likely end some weeks before the April 2027 AGM, and adds to the cumulative €5bn of dividend and stock buybacks that occurred in 1H26. Mercedes is also steadily reducing its stake in Daimler Truck (DTG), with €417m of proceeds in 2Q26 adding to that quarter's FCF. As DTG's stock hit record highs in July, Mercedes sold down a further €600m of its holding, providing further future funding firepower for capital returns.

### Investment Implications

We increase our SOTP discount from 20% to 25%, reflecting the more uncertain outlook for Mercedes' operations in China. This causes our price target to fall to €56, from €61 previously.

| Adjusted EPS | F25A | F26E | F27E |
|--------------|------|------|------|
| MBG.GR (EUR) | 5.34 | 5.39 | 6.59 |
| OLD          | --   | 5.76 | 7.69 |

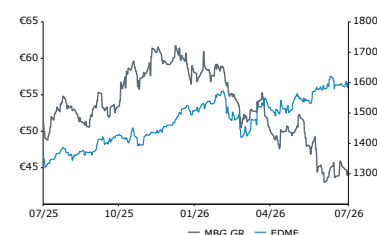
| Financials   | F25A | F26E | F27E | CAGR |
|--------------|------|------|------|------|
| Reported EPS | 5.34 | 5.39 | 6.59 | --   |

Source: Bloomberg, Bernstein estimates and analysis.

| Close Date               | 28 Jul 2026 |     |        |        |
|--------------------------|-------------|-----|--------|--------|
| MBG.GR Close Price (EUR) | 46.86       |     |        |        |
| Price Target (EUR)       | 56.00       |     |        |        |
| Upside/(Downside)        | 20%         |     |        |        |
| 52-Week Range            | 62.34/42.63 |     |        |        |
| EDME                     | --          |     |        |        |
| FYE                      | Dec         |     |        |        |
| Div Yield                | 7.5%        |     |        |        |
| Market Cap (EUR) (M)     | 45,122      |     |        |        |
| EV (EUR) (M)             | 23,194      |     |        |        |
| Performance              | YTD         | 1M  | 6M     | 12M    |
| Absolute (%)             | (22.0)      | 8.4 | (18.1) | (12.5) |
| EDME (%)                 |             |     |        |        |
| Relative (%)             |             |     |        |        |

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



## DETAILS

### 2Q26 RESULTS AND KEY TAKEAWAYS

- Mercedes-Benz delivered solid 2Q26 results in a highly challenging environment, with group EBIT up 22% year-on-year to €1.55bn and free cash flow of €1.10bn, despite softer demand, geopolitical headwinds, and intense competition in China.
- 2Q26 group revenue was slightly below the prior year at €32.1bn, but net industrial liquidity remained strong at €30.4bn after Mercedes returned €5bn to shareholders via dividends and buybacks in 1H26. At the group level, Mercedes expects 2026 revenue slightly below last year's €132.2bn (driven by lower Passenger Car volume), EBIT significantly above 2025's €5.8bn, and Industrial FCF slightly below 2025's €5.4bn, supported by both organic cash generation and M&A (including further Daimler Truck stake monetization and Athlon disposal) and an additional €1bn share buyback to be completed some weeks before the April 2027 AGM.
- Mercedes Passenger Cars printed €909m adjusted EBIT (-26% yoy) for a 4% adjusted return on sales in 2Q26 (5.1% in 2Q25), within the 3–5% full-year guidance range, supported by efficiencies in purchasing/manufacturing and positive industrial performance despite China-related headwinds. Mercedes now expects full-year Passenger Car sales slightly below 2025 due to China, but raised xEV share guidance to 23–25% and confirmed 3–5% adjusted RoS, guiding towards the lower half of the range given raw-material, energy, logistics, depreciation, tariff, and higher BEV-mix headwinds.
- Vans division remains a profit benchmark, with 94,075 units (+1% yoy), €4.45bn revenue (+5% yoy), €454m adjusted EBIT (+3% yoy), and 10.2% adjusted RoS (10.4% in 2Q25). xEV vans were up 46% YoY, lifting xEV share to 10.7%, as VLE series production began in June. Vans guidance for 2026 is unchanged: stronger 2H26 versus 1H26 in volume/mix but lower profitability than 1H26 due to ramp-up costs and raw-material headwinds, with full-year adjusted RoS still targeted at 8–10%.
- Mercedes is carrying out major product and technology launches across cars and vans, including new AMG GT 4-Door, GLS Maybach, C-Class BEV, GLE, GLS, VLE, and upcoming GLA and electric AMG SUV. Mercedes notes that these have already received a very positive market and media reception. Mercedes' powertrain strategy is dual-track: an in-house highly efficient and compact axial flux motor developed by its YASA subsidiary (acquired in 2021) as a BEV performance USP and a new EU7-ready, high-tech electrified V8 to sustain ICE positioning, underpinning both BEV growth and a strong ICE franchise.
- Mercedes notes that the China market fell about 20%, materially impacting its own volumes and JV economics, while ex-China sales grew 2% and sales of BEVs rose 51% globally with Europe +87%, reflecting strong BEV momentum outside China. Management reaffirmed its strategic commitment to China, emphasizing localization (China-specific long-wheelbase GLE produced locally from August), deeper tech partnerships, strengthened local R&D, and a long-term view despite intense competition and price pressure. Mercedes continues to lead the premium ASP hierarchy in China even amid pricing pressure, and is targeting measured BEV volumes (for the new GLC and C-class BEVs) to avoid cash-burning price wars in a crowded, volatile segment. The group recorded €752m of non-cash valuation adjustments (impairments) on its China joint ventures in 2Q26 due to market and cost developments, indicating lower future profit contribution from those JVs but not altering the long-term China strategy.
- MB.OS, the proprietary chip-to-cloud operating system, is being rolled out as a universal software platform across BEV and ICE, with the new S-Class described as the first fully software-defined high-tech ICE vehicle, and ADAS/Level 2++ functionality as a key highlight. AI-based point-to-point assisted driving has already launched in China and the US, with plans to expand into Europe under new legislation, positioning Mercedes at the forefront of global ADAS among established OEMs. MB.OS is intended to boost perceived product value (infotainment, ADAS, personalization) and enable new revenue streams from software/feature sales over the vehicle life.
- In Europe, the Chinese automakers' presence is currently more visible in volume segments, while Mercedes' new-generation BEVs are "flying off the shelf," with BEV sales as noted up 87% in Europe and orders strong, allowing Mercedes to raise xEV share guidance (BEV and PHEV combined) to 23–25% for 2026 (was 21–23% previously) at group level while defending margins through segment focus rather than pure volume.
- Industrial strategy focuses on resilience and cost competitiveness, including a global productivity initiative centered on Germany and expanded, lower-cost capacity in Kecskemét, Hungary for electric C-Class, GLC, and compact G derivatives.

A Germany-focused Productivity Initiative targets cost structure via internal efficiencies, union/political negotiations on working time and competitiveness, and leveraging Eastern European sites (Hungary, Poland, Romania) to lower the weighted average production cost. Management reiterates two core priorities: executing the product/technology plan (MB.OS, ADAS, BEVs, new launches) and sustaining performance via productivity, resilience, disciplined capital allocation, and continued shareholder returns, even in a highly uncertain macro and geopolitical backdrop.

- Mercedes-Benz is running a multi-year “performance enhancement” and productivity programme that sits alongside its largest-ever product and tech offensive, targeting structurally better margins, lower cost, and stronger cash conversion across Cars, Vans, and Financial Services. Mercedes achieved a 19% fixed-cost reduction between 2019 and 2024 (net of inflation) and is targeting a further >10% cut in the next three years, primarily via headcount optimization, management reduction, and process streamlining. The group plans to lower production costs by 10% by 2027, on top of earlier capacity adjustments, using logistics efficiency, increased use of AI/digitalisation, and higher reliance on renewable energy across plants. A Germany-focused “Productivity Initiative” aims to address structurally high labour and energy costs through internal measures (process simplification, efficiency drives) and negotiations with unions and policymakers on working-time and competitiveness. Mercedes is shifting more volume to cost-attractive locations such as Hungary, Romania, and Poland, with the share of low-cost countries in the production footprint planned to rise from roughly 15% to 30%, lowering the weighted average manufacturing cost.
- The company targets an increase in local-for-local production from 60% to 70% by 2027, reducing currency exposure, logistics costs, and tariff risk while speeding up response to regional demand shifts. Expanded capacity at Kecskemét (Hungary) enables European production of electric C-Class, GLC and compact G derivatives, enhancing flexibility and resilience of the network and supporting margin via lower unit cost. Under the “Next Level Production” strategy, Mercedes will introduce more than 40 vehicles across its global network in three years, with mixed BEV/ICE/hybrid assembly on the same lines to maximize asset utilization.
- Mercedes uses Daimler Truck stake disposals and other M&A (such as the Athlon sale) to boost free cash flow and net cash. CFO Harald Wilhelm explicitly highlighted the “first disposals” of €417m of the Daimler Truck stake in April and June of 2Q26, and then noted that there had been additional divestments of around €600mn in July, indicating a phased, opportunistic reduction of the holding rather than a one-off exit. These stake sales are a component of Mercedes’ broader capital allocation strategy, supporting both shareholder returns (€5bn cash return in 1H26 composed of dividends and share buybacks) and an additional €1bn buyback commitment by the 2027 AGM. Harald Wilhelm stressed flexibility in how Daimler Truck shares are sold (piecemeal or potential ABBs, market condition dependent), preserving optionality on timing, discount, and market impact.

## QUICK TAKE RECAP

*The results were ahead of the company compiled consensus, with a Cars adjusted margin at 4.0%, higher than the 3.5% consensus and well within the 3-5% FY26 guidance range, which was reiterated today. Management had recently hinted at a potential impairment in the Chinese JVs and this was indeed reflected in a €704m impairment which reduced the reported Cars EBIT to €49m in 2Q26 (consensus for Cars reported EBIT was €654m). Mercedes share of the equity result of BBAC, the main China JV, swung to a negative €560m in 2Q26 from a positive €115m in 1Q26, reflecting the impact of the impairment. Mercedes notes the impairment did not result in a corresponding cash outflow in 2Q26. The other noteworthy aspect was the €417m boost to free cash flow from the drip fed sale of part of its stake of Daimler Truck Group over the quarter, which realized a €160m gain, booked in the reconciliations line.*

**Revenue:** 2Q26 Group revenues of €32.1bn, 1% ahead of consensus of €31.9bn Exhibit 1. Mercedes-Benz Cars’ and Mercedes-Benz Vans’ revenues were €22.99bn and €4.46bn respectively, both 1% ahead of consensus. Daimler Mobility revenue of €6.2bn was in line with consensus expectations.

**Adj. EBIT:** 2Q26 Group adj. EBIT at €2.3bn, for a corresponding adj. EBIT margin of 7.2%. This was 40% ahead of the €1.64bn consensus expectation and 200bps ahead on the margin. This beat was driven by all segments. Cars adj. EBIT came in at €909m for a margin of 4.0%, 13% ahead of consensus at €804m (3.5% margin). China remains a significant drag with the at equity earnings contribution from the BBAC JV (booked within the Cars’ EBIT result) becoming a negative €560m in 2Q26 (positive €111m in 2Q25) after a positive €115m in 1Q26. Vans’ adj. EBIT was €454m for a corresponding margin of 10.2%, 9% above consensus at €418m (margin 9.0%). **Industrial FCF:** was positive €1.1bn in 2Q26, 51% ahead of consensus. The ind. FCF included proceeds of €417m from the partial sale of the Daimler Truck shareholding.

**Reconciliation:** came in much stronger than expectations at €444m on the adj. EBIT line and €521m on reported EBIT. This was primarily due to a positive effect from the revaluation of liabilities recognized under share buyback programmes and income from dividends attributable to the shares in the Daimler Truck Holding AG held for sale.

**2026 guide:** Mercedes adjusted its group revenue downward. Group revenue is now expected to be slightly below prior year, vs 'at prior year', in its previous communication. As a reminder, in Mercedes guide, 'at prior-year' means between -2% and +2% yoy, and 'slightly below' means -7.5% to -2.0%. The Group EBIT is still expected to be significantly above FY25 and ind. FCF is maintained at 'slightly below'

EXHIBIT 1: **Mercedes reported vs company compiled consensus**

|                               | 2Q25A         | 2Q26A         |                | 2Q26E         |                | 2Q26E         |                |
|-------------------------------|---------------|---------------|----------------|---------------|----------------|---------------|----------------|
|                               | Reported      | Reported      | yoy %          | Cons.         | % dev.         | Bernstein     | % dev.         |
| <b>Revenue (€m)</b>           |               |               |                |               |                |               |                |
| Cars                          | 24,162        | 22,987        | -5%            | 22,741        | 1%             | 23,042        | 0%             |
| Vans                          | 4,237         | 4,455         | 5%             | 4,395         | 1%             | 4,476         | 0%             |
| Daimler Mobility              | 6,248         | 6,180         | -1%            | 6,152         | 0%             | 6,245         | -1%            |
| Reconciliation                | (1,494)       | (1,561)       | 4%             | (1,391)       | 12%            | (1,815)       | -14%           |
| <b>Group Revenue</b>          | <b>33,153</b> | <b>32,061</b> | <b>-3%</b>     | <b>31,897</b> | <b>1%</b>      | <b>31,948</b> | <b>0%</b>      |
| <b>Adj. EBIT (€m)</b>         |               |               |                |               |                |               |                |
| Cars                          | 1,228         | 909           | -26%           | 804           | 13%            | 963           | -6%            |
| Vans                          | 441           | 454           | 3%             | 418           | 9%             | 381           | 19%            |
| Daimler Mobility              | 290           | 492           | 70%            | 359           | 37%            | 274           | 80%            |
| Reconciliation                | 29            | 444           | 1431%          | 65            | 588%           | 188           | 136%           |
| <b>Group Adj. EBIT</b>        | <b>1,988</b>  | <b>2,299</b>  | <b>16%</b>     | <b>1,645</b>  | <b>40%</b>     | <b>1,806</b>  | <b>27%</b>     |
| <b>Adj. EBIT margin</b>       |               |               |                |               |                |               |                |
| Cars                          | 5.1%          | 4.0%          | -1.1 pp        | 3.5%          | +0.4 pp        | 4.2%          | -0.2 pp        |
| Vans                          | 10.4%         | 10.2%         | -0.2 pp        | 9.5%          | +0.7 pp        | 8.5%          | +1.7 pp        |
| Daimler Mobility              | 4.6%          | 8.0%          | +3.3 pp        | 5.8%          | +2.1 pp        | 4.4%          | +3.6 pp        |
| <b>Group Adj. EBIT margin</b> | <b>6.0%</b>   | <b>7.2%</b>   | <b>+1.2 pp</b> | <b>5.2%</b>   | <b>+2.0 pp</b> | <b>5.7%</b>   | <b>+1.5 pp</b> |
| <b>EBIT (€m)</b>              |               |               |                |               |                |               |                |
| Cars                          | 783           | 49            | -94%           | 654           | -93%           | 987           | -95%           |
| Vans                          | 274           | 502           | 83%            | 410           | 22%            | 324           | 55%            |
| Daimler Mobility              | 247           | 475           | 92%            | 350           | 36%            | 258           | 84%            |
| Reconciliation                | (31)          | 521           | -1781%         | 61            | 754%           | (104)         | -601%          |
| <b>Group EBIT</b>             | <b>1,273</b>  | <b>1,547</b>  | <b>22%</b>     | <b>1,475</b>  | <b>5%</b>      | <b>1,465</b>  | <b>6%</b>      |
| <b>EBIT margin</b>            |               |               |                |               |                |               |                |
| Cars                          | 3.2%          | 0.2%          | -3.0 pp        | 2.9%          | -2.7 pp        | 4.3%          | -4.1 pp        |
| Vans                          | 6.5%          | 11.3%         | +4.8 pp        | 9.3%          | +1.9 pp        | 7.2%          | +4.0 pp        |
| Daimler Mobility              | 4.0%          | 7.7%          | +3.7 pp        | 5.7%          | +2.0 pp        | 4.1%          | +3.6 pp        |
| <b>Group EBIT margin</b>      | <b>3.8%</b>   | <b>4.8%</b>   | <b>+1.0 pp</b> | <b>4.6%</b>   | <b>+0.2 pp</b> | <b>4.6%</b>   | <b>+0.2 pp</b> |
| <b>Industrial FCF (€m)</b>    | <b>1,865</b>  | <b>1,102</b>  | <b>-41%</b>    | <b>730</b>    | <b>51%</b>     | <b>1,065</b>  | <b>3%</b>      |

Source: Mercedes-Benz, Bernstein analysis and estimates

EXHIBIT 2: **Mercedes updated 2026 guidance**

|                                     |                               | Actuals<br>FY 2025 | Actuals<br>YTD 6M 2026 | Guidance<br>FY 2026 |
|-------------------------------------|-------------------------------|--------------------|------------------------|---------------------|
| Mercedes-Benz<br>Cars               | Unit sales                    | 1,801k units       | 837k units             | Slightly below      |
|                                     | xEV share                     | 20%                | 20%                    | 23 to 25%           |
|                                     | Return on sales (adj.)*       | 5.0%               | 4.0%                   | 3 to 5%             |
|                                     | Investment in PP&E            | EUR 4.1 bn         | EUR 1.4 bn             | Slightly below      |
|                                     | R&D expenditure               | EUR 8.6 bn         | EUR 3.8 bn             | Significantly below |
|                                     | Cash conversion rate (adj.**) | 1.2                | 2.1                    | 1.0 to 1.2          |
| Mercedes-Benz<br>Vans               | Unit sales                    | 359k units         | 174k units             | Slightly above      |
|                                     | xEV share                     | 8%                 | 9%                     | 8 to 10%            |
|                                     | Return on sales (adj.)*       | 10.2%              | 10.1%                  | 8 to 10%            |
|                                     | Investment in PP&E            | EUR 1.2 bn         | EUR 0.5 bn             | Significantly above |
|                                     | R&D expenditure               | EUR 1.1 bn         | EUR 0.6 bn             | Slightly above      |
|                                     | Cash conversion rate (adj.**) | 0.6                | -0.2                   | 0.1 to 0.3          |
| Mercedes-Benz<br>Financial Services | Return on equity (adj.)*      | 9.7%               | 14.4%                  | 12 to 14%           |

Please refer to the Disclaimer at the end of this presentation for additional context.

\* The adjustments include material adjustments if they lead to significant effects in a reporting period. These material adjustments relate in particular to legal proceedings and related measures, restructuring measures and M&A transactions.

\*\* Adjusted Cash Flow before Interest and Taxes (CFBIT) divided by adjusted EBIT.



Source: Mercedes-Benz

EXHIBIT 3: **Mercedes divisional guidance ranges**

|                    | "Significantly below" | "Slightly below"        | "At prior-year level"       | "Slightly above"        | "Significantly above" |
|--------------------|-----------------------|-------------------------|-----------------------------|-------------------------|-----------------------|
| Revenue/Unit Sales | $X < -7.5\%$          | $-7.5\% \leq X < -2\%$  | $-2\% \leq X \leq +2\%$     | $+2\% < X \leq +10\%$   | $X > +7.5\%$          |
| EBIT (Group)       | $X < -15\%$           | $-15\% \leq X < -5\%$   | $-5\% \leq X \leq +5\%$     | $+5\% < X \leq +15\%$   | $X > +15\%$           |
| Industrial FCF     | $X < -25\%$           | $-25\% \leq X < -10\%$  | $-10\% \leq X \leq +10\%$   | $+10\% < X \leq +25\%$  | $X > +25\%$           |
| Investments/R&D    | $X < -10\%$           | $-10\% \leq X < -2.5\%$ | $-2.5\% \leq X \leq +2.5\%$ | $+2.5\% < X \leq +10\%$ | $X > +10\%$           |

Source: Mercedes, Bernstein analysis

**BERNSTEIN ESTIMATES VS CONSENSUS**

We cut our estimates on the back of Mercedes' updated guidance, taking into account:

- Lower unit sales at Cars. We now expect unit sales to fall 5.5% for FY26, after a 7.0% decline in 1H26. This also influences our revenue and EBIT estimates. We take into account the company guidance of a H2 margin below that of H1. We pencil in 3.5% adj. EBIT margin in H2 vs 4.0% in H1.
- Financial Services: Mercedes upgraded its financial services outlook for 2026, now expecting a RoE of 12-14%, from 10-12% previously. This is reflected in our new estimates.

Beyond 2026, we now anticipate a more gradual improvement in Mercedes' margin. We struggle to see a catalyst for the company to return to its historic high single digit margin profile, especially in light of tariffs and an intensely competitive market in China.

## EXHIBIT 4: Mercedes: Bernstein old vs new estimates

| In €m or %                      | 2026E          |                |                | 2027E          |                |                | 2028E          |                |                |
|---------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                 | Old            | New            | % chg.         | Old            | New            | % chg.         | Old            | New            | % chg.         |
| <b>Revenue</b>                  |                |                |                |                |                |                |                |                |                |
| Mercedes-Benz Cars              | 96,000         | 92,551         | -4%            | 100,000        | 93,846         | -6%            | 103,000        | 95,536         | -7%            |
| Mercedes-Benz Vans              | 18,000         | 17,628         | -2%            | 18,250         | 17,893         | -2%            | 18,900         | 18,161         | -4%            |
| Daimler Mobility                | 24,750         | 24,400         | -1%            | 25,250         | 25,000         | -1%            | 25,750         | 25,500         | -1%            |
| Reconciliation                  | (5,500)        | (6,200)        | +13%           | (6,000)        | (6,000)        | -              | (6,500)        | (6,500)        | -              |
| <b>Group revenue</b>            | <b>133,250</b> | <b>128,379</b> | <b>-4%</b>     | <b>137,500</b> | <b>130,739</b> | <b>-5%</b>     | <b>141,150</b> | <b>132,697</b> | <b>-6%</b>     |
| <b>Adjusted EBIT</b>            |                |                |                |                |                |                |                |                |                |
| Mercedes-Benz Cars              | 4,073          | 3,469          | -15%           | 5,673          | 4,069          | -28%           | 6,773          | 4,919          | -27%           |
| Mercedes-Benz Vans              | 1,635          | 1,619          | -1%            | 1,835          | 1,744          | -5%            | 1,935          | 1,794          | -7%            |
| Daimler Mobility                | 1,287          | 1,692          | +31%           | 1,307          | 1,622          | +24%           | 1,377          | 1,652          | +20%           |
| Reconciliation                  | 450            | 650            | +44%           | 520            | 520            | -              | 520            | 520            | -              |
| <b>Group adj. EBIT</b>          | <b>7,445</b>   | <b>7,430</b>   | <b>-0%</b>     | <b>9,335</b>   | <b>7,955</b>   | <b>-15%</b>    | <b>10,605</b>  | <b>8,885</b>   | <b>-16%</b>    |
| <b>Adjusted EBIT margin, %</b>  |                |                |                |                |                |                |                |                |                |
| Mercedes-Benz Cars              | 4.2%           | 3.7%           | -0.5pts        | 5.7%           | 4.3%           | -1.3pts        | 6.6%           | 5.1%           | -1.4pts        |
| Mercedes-Benz Vans              | 9.1%           | 9.2%           | +0.1pts        | 10.1%          | 9.7%           | -0.3pts        | 10.2%          | 9.9%           | -0.4pts        |
| Daimler Mobility                | 5.2%           | 6.9%           | +1.7pts        | 5.2%           | 6.5%           | +1.3pts        | 5.3%           | 6.5%           | +1.1pts        |
| <b>Group Adj EBIT margin, %</b> | <b>5.6%</b>    | <b>5.8%</b>    | <b>+0.2pts</b> | <b>6.8%</b>    | <b>6.1%</b>    | <b>-0.7pts</b> | <b>7.5%</b>    | <b>6.7%</b>    | <b>-0.8pts</b> |
| <b>Ind. FCF</b>                 | <b>4,601</b>   | <b>4,407</b>   | <b>-4%</b>     | <b>5,151</b>   | <b>4,494</b>   | <b>-13%</b>    | <b>6,657</b>   | <b>4,957</b>   | <b>-26%</b>    |

Source: Bernstein analysis and estimates

## EXHIBIT 5: Mercedes: Bernstein vs Visible Alpha consensus estimates

| In €m or %                      | 2026E          |                |                | 2027E          |                |                | 2028E          |                |                |
|---------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
|                                 | Bern           | Cons.          | % chg.         | Bern           | Cons.          | % chg.         | Bern           | Cons.          | % chg.         |
| <b>Unit sales</b>               |                |                |                |                |                |                |                |                |                |
| Mercedes-Benz Cars              | 1,702,220      | 1,686,350      | 0.9%           | 1,719,242      | 1,691,620      | 1.6%           | 1,736,435      | 1,707,691      | 1.7%           |
| Mercedes-Benz Vans              | 359,136        | 363,388        | -1.2%          | 362,727        | 381,293        | -4.9%          | 364,541        | 395,212        | -7.8%          |
| <b>Revenue</b>                  |                |                |                |                |                |                |                |                |                |
| Mercedes-Benz Cars              | 92,551         | 94,022         | -1.6%          | 93,846         | 96,415         | -2.7%          | 95,536         | 98,969         | -3.5%          |
| Mercedes-Benz Vans              | 17,628         | 17,682         | -0.3%          | 17,893         | 18,675         | -4.2%          | 18,161         | 19,431         | -6.5%          |
| Daimler Mobility                | 24,400         | 24,362         | 0.2%           | 25,000         | 24,820         | 0.7%           | 25,500         | 25,351         | 0.6%           |
| Reconciliation                  | (6,200)        | (6,135)        | 1.1%           | (6,000)        | (6,321)        | -5.1%          | (6,500)        | (6,514)        | -0.2%          |
| <b>Group revenue</b>            | <b>128,379</b> | <b>129,929</b> | <b>-1.2%</b>   | <b>130,739</b> | <b>133,589</b> | <b>-2.1%</b>   | <b>132,697</b> | <b>137,236</b> | <b>-3.3%</b>   |
| <b>Adjusted EBIT</b>            |                |                |                |                |                |                |                |                |                |
| Mercedes-Benz Cars              | 3,469          | 3,206          | 8.2%           | 4,069          | 3,946          | 3.1%           | 4,919          | 5,201          | -5.4%          |
| Mercedes-Benz Vans              | 1,619          | 1,674          | -3.3%          | 1,744          | 1,921          | -9.2%          | 1,794          | 2,052          | -12.6%         |
| Daimler Mobility                | 1,692          | 1,695          | -0.2%          | 1,622          | 1,540          | 5.3%           | 1,652          | 1,560          | 5.9%           |
| Reconciliation                  | 650            | 661            | -1.7%          | 520            | 675            | -22.9%         | 520            | 718            | -27.5%         |
| <b>Group adj. EBIT</b>          | <b>7,430</b>   | <b>7,236</b>   | <b>2.7%</b>    | <b>7,955</b>   | <b>8,083</b>   | <b>-1.6%</b>   | <b>8,885</b>   | <b>9,531</b>   | <b>-6.8%</b>   |
| <b>Adjusted EBIT margin, %</b>  |                |                |                |                |                |                |                |                |                |
| Mercedes-Benz Cars              | 3.7%           | 3.4%           | +0.3pts        | 4.3%           | 4.1%           | +0.2pts        | 5.1%           | 5.3%           | -0.1pts        |
| Mercedes-Benz Vans              | 9.2%           | 9.5%           | -0.3pts        | 9.7%           | 10.3%          | -0.5pts        | 9.9%           | 10.6%          | -0.7pts        |
| Daimler Mobility                | 6.9%           | 7.0%           | -0.0pts        | 6.5%           | 6.2%           | +0.3pts        | 6.5%           | 6.2%           | +0.3pts        |
| <b>Group Adj EBIT margin, %</b> | <b>5.8%</b>    | <b>5.6%</b>    | <b>+0.2pts</b> | <b>6.1%</b>    | <b>6.1%</b>    | <b>+0.0pts</b> | <b>6.7%</b>    | <b>6.9%</b>    | <b>-0.2pts</b> |
| <b>Ind. FCF</b>                 | <b>4,407</b>   | <b>4,405</b>   | <b>0.1%</b>    | <b>4,494</b>   | <b>4,454</b>   | <b>0.9%</b>    | <b>4,957</b>   | <b>4,914</b>   | <b>0.9%</b>    |

Source: Bernstein analysis and estimates, Visible Alpha consensus

## OUR VALUATION

We continue to use a SOTP to value Mercedes, applying the long term median multiples of 27x EV/Sales and 3.6x EV/EBIT to our estimates for the combination of Mercedes Cars & Vans results. Our valuation includes Mercedes' stake in Daimler Truck which at market prices, is worth €11.4bn (vs €9.7bn in our last report). We had historically applied a 20% SOTP discount to our valuation to reflect the continuing risks (macro weakness, competitive market, and uncertainties surrounding electrification). The evidence so far suggests Mercedes continues to struggle in the Chinese market, which was once a strong profit pool for the company. New models, such as the electric CLA, are struggling to break through, although Mercedes is more hopeful about the prospects of the larger GLC BEV in the Core segment that it believes will resonate better with its client base. The decision by Mercedes to make impairments in connection with Chinese equity-method investments of €752m in 2Q26 recognizes



the lower profit contribution of these joint ventures in the future compared to previous assumptions. To account for this further uncertainty, we increase our SOTP discount to 25% (from 20%). This reduces our price target down to €56 (from €61 previously).

#### EXHIBIT 6: Mercedes SOTP 2026E valuation

##### 2026E Valuation

|                          | €m            | € / Share | 2026E Metrics | Ratios / Multiples | Metric       | Comments  |
|--------------------------|---------------|-----------|---------------|--------------------|--------------|-----------|
| EV/Sales                 | 35,297        | 39        | 128,379       | 27%                | EV / Sales   | LT median |
| EV/EBIT                  | 23,297        | 26        | 6,465         | 3.6x               | EV / EBIT    | LT median |
| <b>Average</b>           | <b>29,297</b> | <b>32</b> |               |                    |              |           |
| Daimler Truck stake      | 11,367        | 12        | 11,367        |                    | Market value |           |
| <b>Enterprise Value</b>  | <b>40,665</b> | <b>45</b> |               |                    |              |           |
| Net Industrial liquidity | 30,141        | 33        |               |                    |              |           |
| Pensions Liabilities     | (850)         | (1)       |               |                    |              |           |
| Minorities               | (1,169)       | (1)       |               |                    |              |           |
| <b>Equity Value</b>      | <b>68,786</b> | <b>75</b> |               |                    |              |           |
| Discount                 | 17,197        | 19        |               | 25%                |              |           |
| <b>Target price</b>      | <b>51,590</b> | <b>56</b> |               |                    |              |           |
| NoSH                     | 913           |           |               |                    |              |           |

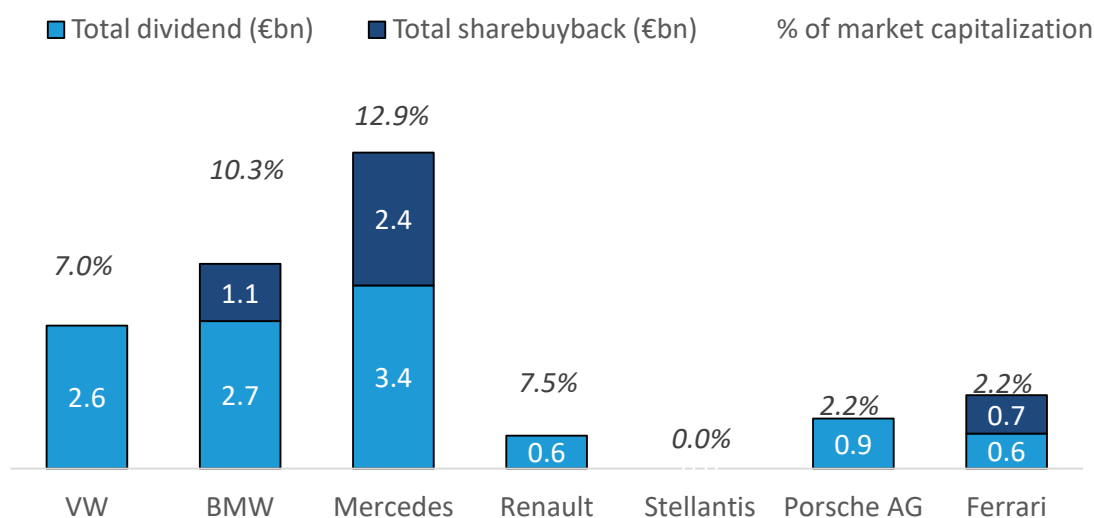
Source: Mercedes, Bernstein analysis and estimates, Bloomberg

#### CONTINUED STRONG SHAREHOLDER RETURNS

Mercedes deserves credit for helping to change the conversation on automotive stocks. In our coverage, we estimate that Mercedes will deliver the largest absolute capital return (share buyback + dividend) in 2026 with a total of €5.8bn, representing 12.9% of its market capitalization.

#### EXHIBIT 7: European OEMs: 2026 capital returns

Note that we include €1bn of the further €1-2bn share buy back targeted for 2026



Estimated 11% total cash return for Mercedes based on closing stock price on 28 July 2026

Source: Bloomberg, Bernstein estimates and analysis

#### BEV FIGHTBACK

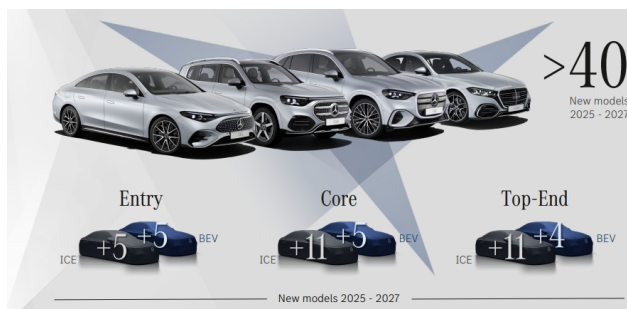
As with all legacy European automakers, strong BEV sales could be taken well by the market. Mercedes BEV lineup in recent years, which had the EQE and EQS and their SUV derivatives as its main headliners, did not receive the traction that it had initially hoped for. After their launch in 2021, Mercedes' total BEV production rallied up to 196k units in 2022, and 335k units in 2023, but was not able to maintain its momentum, slumping to just under 220k units in 2025 according to data compiled by

S&P. (Exhibit 10) Mercedes has subsequently comprehensively reset its BEV offering. In July 2025, Mercedes started delivering the electric CLA which was the first member of its new MMA platform designed for entry-level models. And in spring 2026, the company started delivering the electric GLC using the MB.EA platform (AMG.EA for AMG models) that has been designed for mid and large-sized cars.

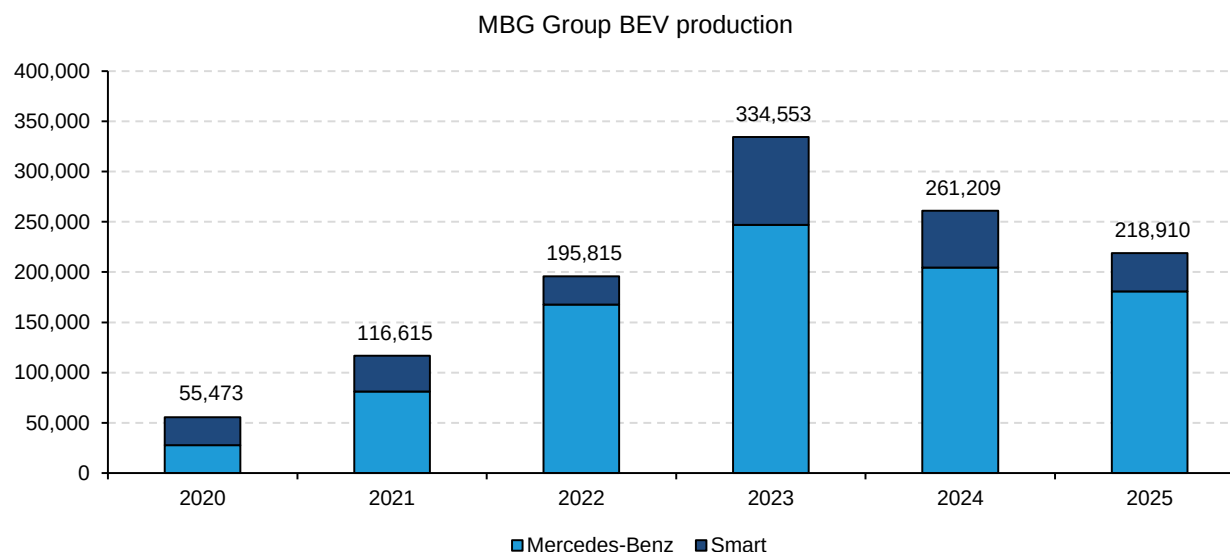
EXHIBIT 8: **More than 40 new models launching 2025-27**

\* LWB = Long wheel base

Source: Mercedes

EXHIBIT 9: **Mercedes model launches between 2025-27**

Source: Mercedes

EXHIBIT 10: **Mercedes is hoping to revive its BEV offering with the launch of its MB.EA and MMA platforms**

Source: S&P Global, Bernstein analysis

EXHIBIT 11: **Mercedes CLA electric**

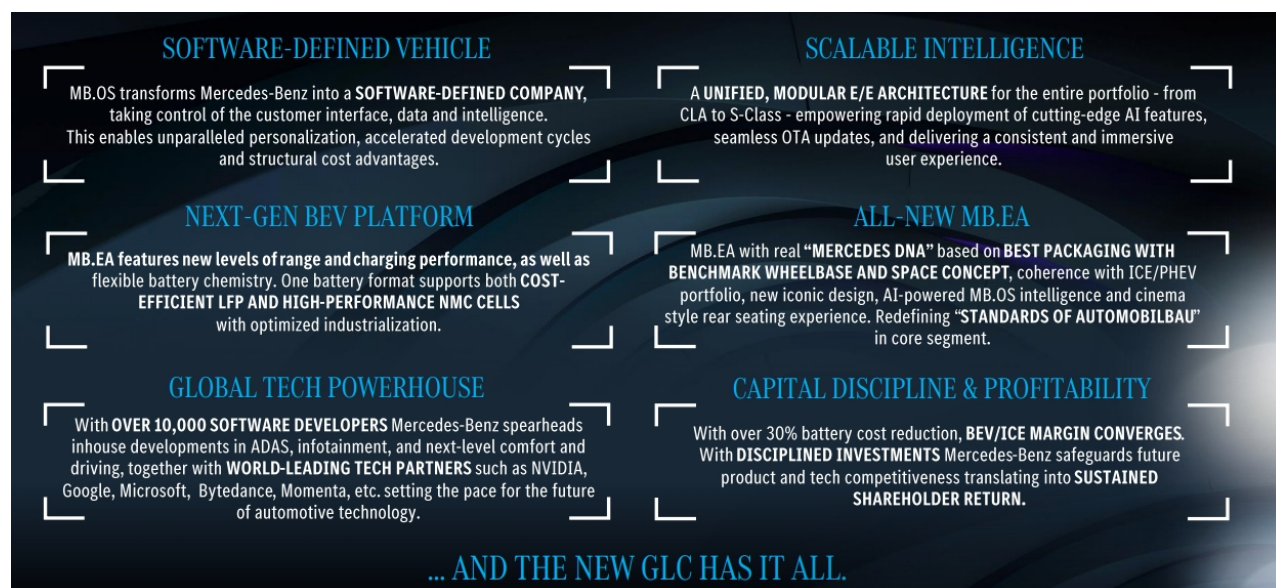
Source: Mercedes

EXHIBIT 12: **Mercedes CLA electric interior**

Source: Mercedes



## EXHIBIT 13: Mercedes' summary of the MB.EA platform



Source: Mercedes

## EXHIBIT 14: Mercedes GLC electric



Source: Mercedes

## EXHIBIT 15: Mercedes GLC electric interior



Source: Mercedes

The C-class BEV was officially unveiled in South Korea on 20 April 2026. As with the GLC BEV, it has a prominent front grille, that references iconic Mercedes of the past like the W108/W109 S-class from the 1960s and 1970s. It features four illuminated horizontal slats, one more than the three found on the GLC EQ. Underpinning the sedan is the same MB.EA platform used by the GLC BEV. So, a similar 94 kWh lithium-ion battery pack and 800-volt architecture, allowing for charging speeds of up to 330 kW.

According to CEO Ola Källenius, "in Europe in particular, the new generation of electric vehicles are literally flying off the shelf and the order entry is tremendously strong. So we have certainly hit the nerve there, a positive nerve with some of these vehicles coming along. So at the moment, we are strengthening our competitive position in Europe, but I think the Chinese ambition to broaden their footprint in Europe has only started. Hence, everything else that we're talking about (our) productivity offensive in Germany. Now is the time to use football language to increase the training units and prepare yourself for future competitions".

## EXHIBIT 16: New Mercedes C-class electric



Source: Mercedes

## EXHIBIT 17: New Mercedes C-class electric



Source: Mercedes

BMW's already high relative share of BEVs in its overall sales mix (17.9% in FY25) while Mercedes lackluster BEV share (9.4% in FY25) [Exhibit 18](#) largely explains why BMW was ahead of its 2025 EU CO<sub>2</sub> emissions targets while Mercedes was lagging on an individual OEM basis. So far this year, Mercedes has shown an accelerating trend in its BEV sales, with 8.7% growth in 1Q26 and 51% growth in 2Q26. Its BEV share of total sales sequentially improved from 10.6% in 1Q26, to 12.7% in 2Q26. BMW has seen slower growth in 2026, but from a higher base. BMW registered 116,807 BEVs in 2Q26, an increase of 5.2% yoy, and representing 19.8% of unit sales. Mercedes' global BEV sales were 52,852 units in the same quarter.

## EXHIBIT 18: Mercedes vs BMW xEV sales

| BMW Group      | FY21      | FY22      | FY23      | FY24      | FY25      | 1Q24    | 2Q24    | 3Q24    | 4Q24    | 1Q25    | 2Q25    | 3Q25    | 4Q25    | 1Q26    | 2Q26    |
|----------------|-----------|-----------|-----------|-----------|-----------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| Group Total    | 2,521,525 | 2,399,636 | 2,555,341 | 2,450,804 | 2,463,715 | 594,671 | 618,743 | 540,882 | 696,508 | 586,117 | 621,477 | 588,300 | 667,981 | 565,748 | 590,962 |
| BMW Group BEV  | 103,855   | 215,755   | 376,183   | 426,536   | 442,059   | 82,689  | 107,933 | 103,440 | 132,474 | 109,513 | 111,070 | 102,864 | 118,635 | 87,458  | 116,807 |
| % total sales  | 4.1%      | 9.0%      | 14.7%     | 17.4%     | 17.9%     | 13.9%   | 17.4%   | 19.1%   | 19.0%   | 18.7%   | 17.9%   | 17.5%   | 17.8%   | 15.5%   | 19.8%   |
| BMW Group PHEV | 224,461   | 218,040   | 190,303   | 166,614   | 200,012   | 39,893  | 38,550  | 36,625  | 51,546  | 47,974  | 50,474  | 48,418  | 53,165  | 45,060  | 46,063  |
| % total sales  | 8.9%      | 9.1%      | 7.4%      | 6.8%      | 8.1%      | 6.7%    | 6.2%    | 6.8%    | 7.4%    | 8.2%    | 8.1%    | 8.2%    | 8.0%    | 8.0%    | 7.8%    |
| Total xEV      | 328,316   | 433,795   | 566,486   | 593,150   | 642,071   | 122,582 | 146,483 | 140,065 | 184,020 | 157,487 | 161,544 | 151,282 | 171,800 | 132,518 | 162,870 |
| % total sales  | 13.0%     | 18.1%     | 22.2%     | 24.2%     | 26.1%     | 20.6%   | 23.7%   | 25.9%   | 26.4%   | 26.9%   | 26.0%   | 25.7%   | 25.7%   | 23.4%   | 27.6%   |

incl. MINI

| Mercedes-Benz Cars      | FY21      | FY22      | FY23      | FY24      | FY25      | 1Q24    | 2Q24    | 3Q24    | 4Q24    | 1Q25    | 2Q25    | 3Q25    | 4Q25    | 1Q26    | 2Q26    |
|-------------------------|-----------|-----------|-----------|-----------|-----------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| Mercedes-Benz Cars      | 1,943,930 | 2,040,719 | 2,043,800 | 1,983,403 | 1,801,291 | 462,978 | 496,712 | 503,573 | 520,140 | 446,300 | 453,674 | 441,453 | 459,864 | 419,430 | 417,765 |
| Mercedes-Benz Cars BEV  | 89,571    | 149,227   | 240,668   | 185,059   | 168,823   | 47,521  | 45,843  | 42,544  | 49,151  | 40,706  | 35,027  | 42,622  | 50,468  | 44,258  | 52,852  |
| % total sales           | 4.6%      | 7.3%      | 11.8%     | 9.3%      | 9.4%      | 10.3%   | 9.2%    | 8.4%    | 9.4%    | 9.1%    | 7.7%    | 9.7%    | 11.0%   | 10.6%   | 12.7%   |
| Mercedes-Benz Cars PHEV | 182,276   | 184,263   | 161,275   | 182,551   | 199,877   | 42,656  | 44,120  | 44,688  | 51,087  | 46,108  | 58,925  | 53,705  | 41,139  | 37,079  | 34,623  |
| % total sales           | 9.4%      | 9.0%      | 7.9%      | 9.2%      | 11.1%     | 9.2%    | 8.9%    | 8.9%    | 9.8%    | 10.3%   | 13.0%   | 12.2%   | 8.9%    | 8.8%    | 8.3%    |
| Total xEV               | 271,847   | 333,490   | 401,943   | 367,610   | 368,700   | 90,177  | 89,963  | 87,232  | 100,238 | 86,814  | 93,952  | 96,327  | 91,607  | 81,337  | 87,475  |
| % total sales           | 14.0%     | 16.3%     | 19.7%     | 18.5%     | 20.5%     | 19.5%   | 18.1%   | 17.3%   | 19.3%   | 19.5%   | 20.7%   | 21.8%   | 19.9%   | 19.4%   | 20.9%   |

Source: Company reports, Bernstein analysis

## APPENDIX - FINANCIAL FORECASTS

## EXHIBIT 19: Mercedes yearly breakdown

## Yearly breakdown

| €/m/ units                          | 2021             | 2022             | 2023             | 2024             | 2025             | 2026e            | 2027e            | 2028e            |
|-------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Mercedes-Benz Cars (unit sales)     | 1,943,930        | 2,040,719        | 2,044,051        | 1,983,403        | 1,801,291        | 1,702,220        | 1,719,242        | 1,736,435        |
| % chg.                              |                  | 5%               | 0%               | -3%              | -9%              | -6%              | 1%               | 1%               |
| Mercedes-Benz Vans (unit sales)     | 386,239          | 415,344          | 447,790          | 405,610          | 359,136          | 359,136          | 362,727          | 364,541          |
| % chg.                              |                  | 8%               | 8%               | -9%              | -11%             | 0%               | 1%               | 0%               |
| <b>Total Shipments</b>              | <b>2,330,169</b> | <b>2,456,063</b> | <b>2,491,841</b> | <b>2,389,013</b> | <b>2,160,427</b> | <b>2,061,356</b> | <b>2,081,970</b> | <b>2,100,976</b> |
| % chg.                              |                  | 5%               | 1%               | -4%              | -10%             | -5%              | 1%               | 1%               |
| Mercedes-Benz Cars revenue          | 96,712           | 111,601          | 112,756          | 107,761          | 96,407           | 92,551           | 93,846           | 95,536           |
| % chg.                              |                  | 15%              | 1%               | -4%              | -11%             | -4%              | 1%               | 2%               |
| Mercedes-Benz Vans revenue          | 14,735           | 17,217           | 20,288           | 19,320           | 17,148           | 17,628           | 17,893           | 18,161           |
| % chg.                              |                  | 17%              | 18%              | -5%              | -11%             | 3%               | 1%               | 1%               |
| Daimler Mobility revenue            | 27,941           | 26,954           | 26,718           | 25,083           | 24,625           | 24,400           | 25,000           | 25,500           |
| % chg.                              |                  | -4%              | -1%              | -6%              | -2%              | -1%              | 2%               | 2%               |
| Reconciliation                      | 30,382           | (5,755)          | (6,544)          | (6,570)          | (5,966)          | (6,200)          | (6,000)          | (6,500)          |
| <b>Group revenue</b>                | <b>169,771</b>   | <b>150,018</b>   | <b>153,219</b>   | <b>145,594</b>   | <b>132,214</b>   | <b>128,379</b>   | <b>130,739</b>   | <b>132,697</b>   |
| % chg.                              |                  | -12%             | 2%               | -5%              | -9%              | -3%              | 2%               | 1%               |
| Mercedes-Benz Cars adj. EBIT        | 12,689           | 16,245           | 14,252           | 8,677            | 4,773            | 3,469            | 4,069            | 4,919            |
| % chg.                              |                  | 28%              | -12%             | -39%             | -45%             | -27%             | 17%              | 21%              |
| Mercedes-Benz Vans adj. EBIT        | 1,229            | 1,927            | 3,063            | 2,825            | 1,755            | 1,619            | 1,744            | 1,794            |
| % chg.                              |                  | 57%              | 59%              | -8%              | -38%             | -8%              | 8%               | 3%               |
| Daimler Mobility adj. EBIT          | 3,449            | 2,428            | 1,695            | 1,134            | 1,267            | 1,692            | 1,622            | 1,652            |
| % chg.                              |                  | -30%             | -30%             | -33%             | 12%              | 34%              | -4%              | 2%               |
| Reconciliation                      | 1,867            | 55               | 994              | 1,077            | 440              | 650              | 520              | 520              |
| <b>Group adj. EBIT</b>              | <b>19,234</b>    | <b>20,655</b>    | <b>20,004</b>    | <b>13,713</b>    | <b>8,235</b>     | <b>7,430</b>     | <b>7,955</b>     | <b>8,885</b>     |
| % chg.                              |                  | 7%               | -3%              | -31%             | -40%             | -10%             | 7%               | 12%              |
| Mercedes-Benz Cars adj. EBIT margin | 13.1%            | 14.6%            | 12.6%            | 8.1%             | 5.0%             | 3.7%             | 4.3%             | 5.1%             |
| Mercedes-Benz Vans adj. EBIT margin | 8.3%             | 11.2%            | 15.1%            | 14.6%            | 10.2%            | 9.2%             | 9.7%             | 9.9%             |
| Daimler Mobility adj. EBIT margin   | 12.3%            | 9.0%             | 6.3%             | 4.5%             | 5.1%             | 6.9%             | 6.5%             | 6.5%             |
| <b>Group adj. EBIT margin</b>       | <b>11.3%</b>     | <b>13.8%</b>     | <b>13.1%</b>     | <b>9.4%</b>      | <b>6.2%</b>      | <b>5.8%</b>      | <b>6.1%</b>      | <b>6.7%</b>      |

Source: Company reports, Bernstein analysis and estimates

## EXHIBIT 20: Mercedes simplified P&amp;L

## Simplified P&amp;L

| €m                | 2013    | 2014    | 2015    | 2016    | 2017    | 2018    | 2019    | 2020    | 2021    | 2022    | 2023    | 2024    | 2025    | 2026e   | 2027e   | 2028e   |
|-------------------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|---------|
| Revenue           | 117,982 | 129,872 | 149,467 | 153,261 | 164,330 | 167,362 | 172,745 | 154,309 | 133,893 | 150,017 | 153,218 | 145,594 | 132,214 | 128,379 | 130,739 | 132,697 |
| % chg.            | 3%      | 10%     | 15%     | 3%      | 7%      | 2%      | 3%      | -11%    | -13%    | 12%     | 2%      | -5%     | -9%     | -3%     | 2%      | 1%      |
| Adj. EBIT         | 7,921   | 10,146  | 13,829  | 14,243  | 14,589  | 11,589  | 10,292  | 8,641   | 19,230  | 20,655  | 20,004  | 13,713  | 8,235   | 7,430   | 7,955   | 8,885   |
| % chg.            | -3%     | 28%     | 36%     | 3%      | 2%      | -21%    | -11%    | -16%    | 123%    | 7%      | -3%     | -31%    | -40%    | -10%    | 7%      | 12%     |
| Margin (%)        | 6.7%    | 7.8%    | 9.3%    | 9.3%    | 8.9%    | 6.9%    | 6.0%    | 5.6%    | 14.4%   | 13.8%   | 13.1%   | 9.4%    | 6.2%    | 5.8%    | 6.1%    | 6.7%    |
| Profit before tax | 10,139  | 10,173  | 12,754  | 12,586  | 14,301  | 10,595  | 3,830   | 6,339   | 15,811  | 20,304  | 20,084  | 14,147  | 6,284   | 7,065   | 8,360   | 9,215   |
| % chg.            |         | 0%      | 25%     | -1%     | 14%     | -26%    | -64%    | 66%     | 149%    | 28%     | -1%     | -30%    | -56%    | 12%     | 18%     | 10%     |
| Net income        | 6,842   | 6,962   | 8,434   | 8,538   | 10,525  | 7,249   | 2,377   | 3,627   | 23,006  | 14,501  | 14,261  | 10,207  | 5,141   | 5,042   | 5,966   | 6,576   |
| % chg.            |         | 2%      | 21%     | 1%      | 23%     | -31%    | -67%    | 53%     | 534%    | -37%    | -2%     | -28%    | -50%    | -2%     | 18%     | 10%     |
| EPS               | 6.40    | 6.51    | 7.88    | 7.98    | 9.84    | 6.78    | 2.22    | 3.39    | 21.50   | 13.55   | 13.46   | 10.19   | 5.34    | 5.39    | 6.59    | 7.40    |
| % chg.            | 12%     | 2%      | 21%     | 1%      | 23%     | -31%    | -67%    | 53%     | 534%    | -37%    | -1%     | -24%    | -48%    | 1%      | 22%     | 12%     |
| DPS               | 2.25    | 2.45    | 3.25    | 3.25    | 3.65    | 3.25    | 0.90    | 1.35    | 5.00    | 5.20    | 5.30    | 4.30    | 3.50    | 3.31    | 3.99    | 3.74    |
| % chg.            |         | 9%      | 33%     | 0%      | 12%     | -11%    | -72%    | 50%     | 270%    | 4%      | 2%      | -19%    | -19%    | -5%     | 21%     | -6%     |
| Payout            | 35%     | 38%     | 41%     | 41%     | 37%     | 48%     | 41%     | 40%     | 23%     | 38%     | 39%     | 42%     | 66%     | 61%     | 61%     | 50%     |

Source: Company reports, Bernstein analysis and estimates

## EXHIBIT 21: Mercedes simplified cash flow statement

## Simplified cash flow statement

| €m                                                 | 2013     | 2014     | 2015     | 2016     | 2017     | 2018     | 2019     | 2020     | 2021     | 2022     | 2023     | 2024     | 2025     | 2026e    | 2027e    | 2028e    |
|----------------------------------------------------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|----------|
| PBT                                                | 10,139   | 10,173   | 12,744   | 12,586   | 14,301   | 10,595   | 3,830    | 6,339    | 28,775   | 20,304   | 20,084   | 14,147   | 6,284    | 7,065    | 8,360    | 9,215    |
| Depreciation & amortization                        | 4,368    | 4,999    | 5,384    | 5,478    | 5,676    | 6,305    | 7,751    | 8,957    | 6,980    | 6,521    | 6,663    | 6,772    | 7,223    | 8,115    | 8,615    | 8,715    |
| % of revenue                                       |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |
| Change in operating assets & liabilities           | (6,761)  | (12,373) | (14,654) | (10,281) | (16,633) | (14,029) | (2,051)  | 7,951    | 3,179    | (4,241)  | (6,251)  | 694      | 5,972    | (940)    | (120)    | (100)    |
| Cash Flow from operating activities                | 3,285    | (1,274)  | 222      | 3,711    | (1,652)  | 343      | 7,888    | 22,332   | 24,549   | 16,894   | 14,470   | 17,735   | 18,006   | 13,333   | 14,761   | 15,614   |
| % chg.                                             |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |
| Investments in PPE                                 | (4,975)  | (4,844)  | (5,075)  | (5,889)  | (6,744)  | (7,534)  | (7,199)  | (5,741)  | (4,746)  | (3,481)  | (3,745)  | (4,039)  | (5,482)  | (4,800)  | (4,200)  | (4,500)  |
| Investments in intangible assets                   | (1,932)  | (1,463)  | (2,261)  | (2,944)  | (3,414)  | (3,167)  | (3,636)  | (2,819)  | (2,435)  | (3,418)  | (4,468)  | (4,626)  | (4,260)  | (3,600)  | (3,440)  | (3,600)  |
| Cash Flow from investing activities                |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |
| Industrial Free Cash Flow                          | 5,082    | 4,476    | 3,716    | 4,045    | 2,005    | 2,898    | 1,368    | 8,259    | 8,606    | 8,128    | 11,316   | 9,152    | 5,414    | 4,407    | 4,494    | 4,957    |
| % of revenue                                       |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |          |
| Dividends paid to Group shareholders               | (2,618)  | (2,565)  | (2,895)  | (3,678)  | (3,727)  | (4,220)  | (3,740)  | (1,245)  | (1,810)  | (5,669)  | (5,880)  | (5,725)  | (4,323)  | (3,355)  | (3,025)  | (3,579)  |
| Purchase of shares                                 | (24)     | (26)     | (27)     | (38)     | (42)     | (50)     | (42)     | -        | -        | -        | (1,941)  | (4,921)  | (360)    | (2,430)  | (1,000)  | (1,000)  |
| Net increase (decrease) in Cash & Cash equivalents | 57       | (1,386)  | 269      | 1,045    | 1,091    | 3,781    | 1,805    | 4,165    | 134      | (5,503)  | (1,707)  | (1,456)  | (2,240)  | (2,491)  | 2,596    | 2,435    |
| Industrial Net Debt (Cash)                         | (13,834) | (16,953) | (18,580) | (19,737) | (16,597) | (16,288) | (10,997) | (17,855) | (21,005) | (26,637) | (31,659) | (31,416) | (32,293) | (30,141) | (30,610) | (30,887) |

Source: Company reports, Bernstein analysis and estimates

## EXHIBIT 22: Mercedes quarterly breakdown

| Quarterly breakdown                 |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
|-------------------------------------|---------|---------|-----------|---------|-----------|---------|-----------|-----------|---------|---------|-----------|---------|-----------|---------|-----------|-----------|---------|---------|-----------|---------|-----------|---------|-----------|-----------|--|
| €m/ units                           | 1Q24    | 2Q24    | 1H24      | 3Q24    | 9M24      | 4Q24    | 2H24      | FY24      | 1Q25    | 2Q25    | 1H25      | 3Q25    | 9M25      | 4Q25    | 2H25      | FY25      | 1Q26    | 2Q26    | 1H26      | 3Q26e   | 9M26e     | 4Q26e   | 2H26e     | FY26e     |  |
| Mercedes-Benz Cars (unit sales)     | 462,978 | 486,712 | 959,690   | 903,573 | 1,463,263 | 520,140 | 1,023,713 | 1,363,403 | 446,300 | 453,674 | 899,974   | 441,453 | 1,341,427 | 459,864 | 901,317   | 1,801,291 | 419,430 | 417,765 | 837,195   | 410,332 | 1,247,527 | 454,893 | 865,025   | 1,702,220 |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Mercedes-Benz Vans (unit sales)     | 105,425 | 103,435 | 208,860   | 91,063  | 296,923   | 105,687 | 196,750   | 405,610   | 82,943  | 93,393  | 176,336   | 83,843  | 260,179   | 98,957  | 182,800   | 359,136   | 80,256  | 94,075  | 174,331   | 83,246  | 257,577   | 101,559 | 184,805   | 359,136   |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Total Shipments                     | 568,403 | 600,147 | 1,168,550 | 994,636 | 1,763,186 | 625,827 | 1,220,463 | 2,389,013 | 529,243 | 547,067 | 1,076,310 | 525,296 | 1,601,606 | 558,821 | 1,084,117 | 2,160,427 | 499,686 | 511,840 | 1,011,526 | 493,578 | 1,505,104 | 556,252 | 1,049,830 | 2,061,356 |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Mercedes-Benz Cars revenue          | 25,713  | 27,170  | 52,883    | 25,602  | 78,485    | 29,276  | 54,878    | 107,761   | 24,238  | 24,162  | 48,400    | 23,742  | 72,142    | 24,265  | 48,007    | 96,407    | 22,958  | 22,987  | 45,945    | 22,301  | 68,246    | 24,304  | 48,806    | 92,551    |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Mercedes-Benz Vans revenue          | 4,893   | 4,774   | 9,667     | 4,657   | 14,324    | 4,996   | 9,653     | 19,320    | 4,080   | 4,237   | 8,317     | 4,044   | 12,361    | 4,787   | 8,831     | 17,148    | 4,124   | 4,455   | 8,579     | 4,029   | 12,808    | 5,020   | 9,049     | 17,628    |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Daimler Mobility revenue            | 6,855   | 6,347   | 13,202    | 6,007   | 19,209    | 5,874   | 11,881    | 25,083    | 6,422   | 6,248   | 12,670    | 5,805   | 18,475    | 6,150   | 11,955    | 24,625    | 6,105   | 6,180   | 12,285    | 5,915   | 18,200    | 6,200   | 12,115    | 24,400    |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Reconciliation                      | (1,588) | (1,548) | (3,136)   | (1,738) | (4,874)   | (1,696) | (3,434)   | (8,570)   | (1,516) | (1,494) | (3,010)   | (1,444) | (4,454)   | (1,512) | (2,956)   | (5,968)   | (1,585) | (1,561) | (3,146)   | (1,604) | (4,750)   | (1,450) | (3,054)   | (8,200)   |  |
| Group revenue                       | 36,873  | 36,743  | 72,616    | 34,528  | 107,144   | 38,450  | 72,978    | 145,994   | 33,224  | 33,153  | 66,377    | 32,147  | 98,524    | 33,690  | 65,837    | 132,214   | 31,602  | 32,061  | 63,663    | 30,642  | 94,305    | 34,074  | 64,716    | 128,379   |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Mercedes-Benz Cars adj. EBIT        | 2,323   | 2,763   | 5,086     | 1,207   | 6,293     | 2,384   | 3,591     | 8,677     | 1,768   | 1,228   | 2,996     | 1,139   | 4,135     | 638     | 1,777     | 4,773     | 933     | 909     | 1,842     | 742     | 2,584     | 885     | 1,627     | 3,469     |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Mercedes-Benz Vans adj. EBIT        | 800     | 834     | 1,634     | 629     | 2,263     | 562     | 1,191     | 2,825     | 475     | 441     | 916       | 412     | 1,329     | 428     | 839       | 1,755     | 415     | 454     | 869       | 328     | 1,198     | 421     | 750       | 1,619     |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Daimler Mobility adj. EBIT          | 279     | 271     | 550       | 285     | 835       | 299     | 584       | 1,134     | 287     | 290     | 577       | 313     | 890       | 377     | 690       | 1,267     | 413     | 492     | 905       | 380     | 1,285     | 407     | 787       | 1,692     |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Reconciliation                      | 196     | 181     | 377       | 417     | 794       | 283     | 700       | 1,077     | 16      | 29      | 45        | 235     | 280       | 160     | 395       | 440       | 12      | 444     | 456       | 94      | 550       | 100     | 194       | 650       |  |
| Group adj. EBIT                     | 3,598   | 4,049   | 7,647     | 2,638   | 10,185    | 3,628   | 6,066     | 13,713    | 2,546   | 1,988   | 4,534     | 2,099   | 6,634     | 1,601   | 3,701     | 8,235     | 1,773   | 2,299   | 4,072     | 1,644   | 5,617     | 1,813   | 3,358     | 7,430     |  |
| % chg.                              |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |         |         |           |         |           |         |           |           |  |
| Mercedes-Benz Cars adj. EBIT margin | 9.0%    | 10.2%   | 9.6%      | 4.7%    | 8.0%      | 8.1%    | 6.5%      | 8.1%      | 7.3%    | 5.1%    | 6.2%      | 4.8%    | 5.7%      | 2.6%    | 3.7%      | 5.0%      | 4.1%    | 4.0%    | 4.0%      | 3.3%    | 3.8%      | 3.6%    | 3.5%      | 3.7%      |  |
| Mercedes-Benz Vans adj. EBIT margin | 18.3%   | 17.5%   | 16.9%     | 13.5%   | 15.8%     | 11.2%   | 12.3%     | 14.6%     | 11.6%   | 10.4%   | 11.0%     | 10.2%   | 10.8%     | 8.9%    | 9.5%      | 10.2%     | 10.1%   | 10.2%   | 10.1%     | 8.1%    | 9.5%      | 8.4%    | 8.3%      | 9.2%      |  |
| Daimler Mobility adj. EBIT margin   | 4.1%    | 4.3%    | 4.2%      | 4.7%    | 4.3%      | 5.1%    | 4.9%      | 4.5%      | 4.5%    | 4.6%    | 4.6%      | 5.4%    | 4.8%      | 6.1%    | 5.8%      | 5.1%      | 6.6%    | 8.0%    | 7.4%      | 6.4%    | 7.1%      | 6.6%    | 6.5%      | 6.9%      |  |
| Group adj. EBIT margin              | 10.6%   | 11.0%   | 10.8%     | 7.4%    | 9.9%      | 9.2%    | 8.3%      | 9.4%      | 7.7%    | 6.0%    | 6.8%      | 6.5%    | 6.7%      | 4.8%    | 6.0%      | 6.2%      | 5.6%    | 7.2%    | 6.4%      | 5.0%    | 6.0%      | 5.3%    | 5.2%      | 5.8%      |  |

Source: Company reports, Bernstein analysis and estimates

## BERNSTEIN TICKER TABLE

| Ticker            | Rating | 28 Jul 2026 |                  | Price<br>Target | TTM<br>Rel.<br>Perf. | Adjusted EPS |       |             |             | Adjusted P/E (x) |       |       |
|-------------------|--------|-------------|------------------|-----------------|----------------------|--------------|-------|-------------|-------------|------------------|-------|-------|
|                   |        | Cur         | Closing<br>Price |                 |                      | Cur          | 2025A | 2026E       | 2027E       | 2025A            | 2026E | 2027E |
| MBG.GR (Mercedes) | M      | EUR         | 46.86            | <b>56.00</b>    | (12.5)%              | EUR          | 5.34  | <b>5.39</b> | <b>6.59</b> | 8.8              | 8.7   | 7.1   |
| OLD               |        |             |                  | 61.00           |                      |              |       | 5.76        | 7.69        |                  |       |       |
| EDME              |        |             | --               |                 |                      |              |       |             |             |                  |       |       |

## PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.



## DISCLOSURE APPENDIX

**I. REQUIRED DISCLOSURES**

References to "Bernstein" or the "Firm" in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社) and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein's "affiliates" relate to both SG and AB and their respective affiliates.

**VALUATION METHODOLOGY****Mercedes-Benz Group AG**

We value Mercedes on its LT median multiples (EV/Sales 27%, EV/EBIT 3.6x), to which we add Mercedes' stake in Daimler Truck at its current market value. We apply a 25% discount to our subsequent equity value to account for structural changes including the BEV transition and the Chinese market. This methodology yields a price target of €56.

**RISKS****Mercedes-Benz Group AG**

Downside risks to price target: 1) Trade dispute between the EU and China discourages purchase of German brand cars in China 2) Margin dilution from increased BEV sales 3) Trade tensions between the US and China hits profits of US sourced SUVs. Upside risks include stronger pricing and a swift resolution of trade disputes between the US and Europe and Europe and China.

**RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION****EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

### **Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/- 10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

### **Autonomous brand – preferred stocks**

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

## **AUTONOMOUS CREDIT RESEARCH**

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

### **CREDIT RATINGS DEFINITIONS**

The Autonomous brand has three categories of credit ratings:

- **Credit Outperform (C-OP):** The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Neutral (C-N):** The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

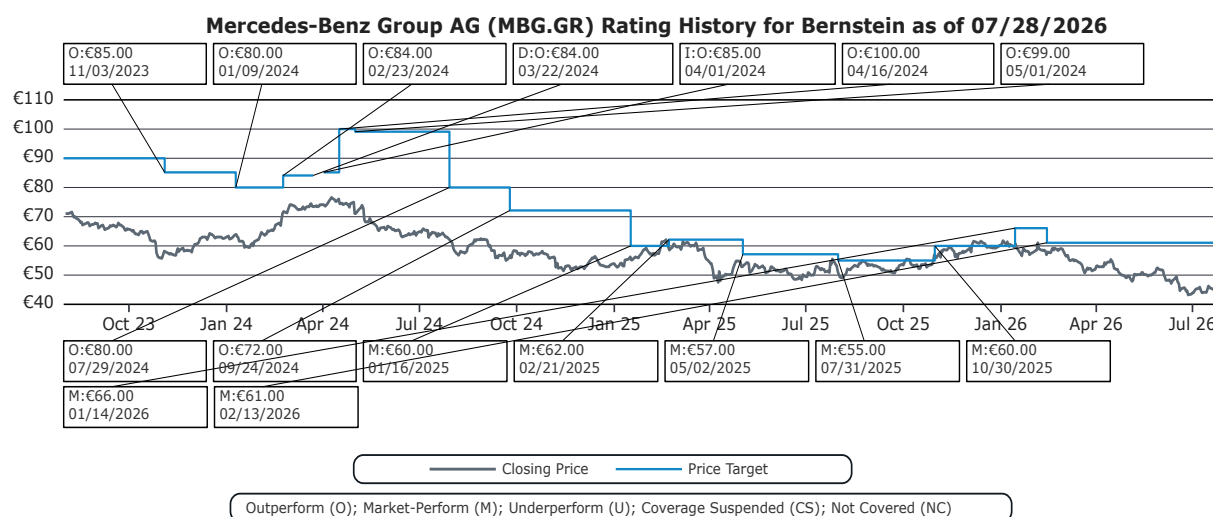
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

## DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

| Equity Rating                                                  | Market Abuse Regulation (MAR) and FINRA Rating Category | Global Rating Distribution | Investment Banking Relationships* |
|----------------------------------------------------------------|---------------------------------------------------------|----------------------------|-----------------------------------|
| Outperform                                                     | BUY                                                     | 51.2%                      | 15.3%                             |
| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 35.8%                      | 16.2%                             |
| Underperform                                                   | SELL                                                    | 13.1%                      | 13.6%                             |

\* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.  
As of June 30, 2026. All figures are updated quarterly.

## PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

## CONFLICTS OF INTEREST

SG and/or its affiliates acted as Joint Active Bookrunner in Mercedes-Benz International Finance BV's dual tranche bonds issue guaranteed by Mercedes-Benz Group AG (EUR, long 3y & 6y, RegS)

An affiliate of Bernstein has received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Mercedes-Benz Group AG.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Mercedes-Benz Group AG.

Bernstein and/or affiliates expect to receive or intend to seek compensation for investment banking services in the next three months from Mercedes-Benz Group AG.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Mercedes-Benz Group AG.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Mercedes-Benz Group AG.

Certain affiliates of Bernstein act as market maker or liquidity provider in the debt securities of: Mercedes-Benz Group AG.

## OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Africa Technologies & Services; Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

## CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject

securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

## **II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES**

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

## **III. OTHER IMPORTANT INFORMATION AND DISCLOSURES**

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.
- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to "Autonomous" branded products (including certain Sales materials) please visit: [www.autonomous.com](http://www.autonomous.com). For information relating to Bernstein branded products please visit: [www.bernsteinresearch.com](http://www.bernsteinresearch.com).

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation ("MAR") and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

**To our readers in the United States:** Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission ("SEC") and a member of the U.S. Financial Industry Regulatory Authority, Inc. ("FINRA") is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

**To our readers in Canada:** If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

**To our readers in Brazil:** This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

**To readers in the United Kingdom:** This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order"), (ii) are persons falling within Article 49(2)(a) to (d) ("high net worth companies, unincorporated associations,

etc.”) of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as “relevant persons”). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

**To our readers in the member states of the EEA:** This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

**To our readers in Hong Kong:** This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (<https://www.sfc.hk/publicregWeb/corp/AXC846/details>). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

**To our readers in Singapore:** This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore (“SFA”). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

**To our readers in the People’s Republic of China:** The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People’s Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the “PRC”) in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

**To our readers in Japan:** This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. (“Daiwa”), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

**To our readers in Australia:** Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;



- making a market for a financial product; and
- providing a custodial or depository service.

**To our readers in India:** This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to [www.bernsteinresearch.in](http://www.bernsteinresearch.in) for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email [MUM-BERNSTEIN-InCompliance@bernsteinsg.com](mailto:MUM-BERNSTEIN-InCompliance@bernsteinsg.com).
- SCB India does not have any disciplinary history as on the date of this report.
- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
  - do not have any financial interest in the subject company
  - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
  - is not engaged in any investment banking activities for Indian companies, as such;
  - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
  - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
  - have not received compensation for brokerage services from the subject company in the past twelve months;
  - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
  - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
  - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or [MUM-BERNSTEIN-InCompliance@bernsteinsg.com](mailto:MUM-BERNSTEIN-InCompliance@bernsteinsg.com) / [Scbin-investorgrievance@bernsteinsg.com](mailto:Scbin-investorgrievance@bernsteinsg.com)
- The Research investor charter and Terms & Conditions of SCB India are available on its website and may be accessed at [Sanford C. Bernstein \(India\) Private Limited](http://Sanford C. Bernstein (India) Private Limited) (<https://bernsteinresearch.in/>) for your reference.
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read

all the related documents carefully before investing.

**To our readers in Switzerland:** This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

**To our readers in the Middle East:** Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

## LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, [bernsteinresearch.com](http://bernsteinresearch.com) and [autonomous.com](http://autonomous.com). Certain, but not all, research publications are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website [www.bernsteinresearch.com](http://www.bernsteinresearch.com).

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are "eligible counterparties", "professional clients", "institutional investors" and/or "professional investors" as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein's express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein's express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein's research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)' current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.